

Supplement 1-09 to Agenda Item 4

Audits of Less Complex Entities – ED-ISA for LCE – Q17 (c) (Challenges for Implementation)

Specific Questions\Section 4F – Other Matters\Question 17 - Would ED-ISA for LCE meet the needs of users and other stakeholders for an engagement that enables the auditor to obtain reasonable assurance to express an audit opinion\Question 17(c) Whether there are aspects of the proposed standard that may create challenges for implementation\1a) Aspects Noted\1a) Scope Authority (General)

3. Regulators and Audit Oversight Authorities

Botswana Accountancy Oversight Authority

The assessment of the criteria in deciding whether the ISA for LCEs can be applied may create challenges, as such as more comprehensive guidelines may be availed to assist in this regard.

Finance Professions Supervisory Centre Indonesia

Our views on the key principles used in developing ED-ISA for LCE:

Specific classes of entities for which the use of the standard is prohibited, where there will be multiple effects for respective country regulators to determine which companies whose audited financial statements using the ISA for LCE approach are acceptable, and which companies are only accepted if using ISAs. This needs to be clarified to prevent the emergence of different perceptions between practitioners, regulators, and stakeholders who will use the audit report itself.

Qualitative characteristics, where there will be other considerations from legislative or regulatory authorities or relevant local bodies with standard-setting authority, regarding these qualitative elements. In Indonesia, regulations regarding entity levelling generally use quantitative indicators. We believe that more specific guidance to practitioners is needed, an appropriate to the developing countries environment, to reduce regulatory risk.

4. National Auditing Standard Setters

Malaysian Institute of Accountants

Response: As mentioned above in Question 1, the definition of LCE needs to be enhanced with more guidance to ensure a consistent application of determining an LCE. The determination of an LCE may still involve significant judgment based on the proposed guidance particularly in relation to the qualitative characteristics exhibited by the entity due to indicators, proxies or matters/circumstances by the auditor at the outset prior to detailed audit planning and risk assessment of the entity.

New Zealand Auditing and Assurance Standards Board

As outlined in our responses to various questions together with our suggestions as to how these challenges may be addressed, the NZAuASB considers the amount of judgement involved in the scoping of proposed LCE standard, the uncertainty that might require a practitioner to transition to the full ISAs, and the perception of a two-tiered audit, are key challenges for implementation.

Royal Netherlands Institute of Chartered Accountants (NBA)

Response: We fear that this standard cannot be implemented in this way as it remains unclear when an entity is less complex and what the true benefits are of using this standard.

7. Professional Accountancy and Other Professional Organizations

Institute of Certified Public Accountants of Cyprus

We support a global solution for less complex entities to be audited under a simplified, and more relevant, auditing standard and we therefore welcome this advancement. We are concerned that purely subjective qualitative criteria in determining the scope of application would lead to wide inconsistency in the profession and we, accordingly, favour the introduction of quantitative thresholds as well, that should be applied in conjunction with more clearly defined qualitative criteria that focus on the attributes of LCEs. We believe that local legislative and regulatory bodies should engage with stakeholders in the local market to apply such an LCE standard in a manner that is appropriate to our jurisdiction.

Malaysian Institute of Certified Public Accountants

As indicated, more guidance around the definition of LCE will be required to ensure consistent usage and application of this proposed standard. In addition, greater focus and consideration on how to deal with new information and complexities encountered during the course of the audit are required to minimise any unintended consequences to the practitioners.

Polish Chamber of Statutory Auditors Warsaw (Regional Branch)

Yes. It should be clear to which engagements the standard is applicable. The list of orders should be closed. It should not be possible to rely on judgment.

Union of Chambers of Certified Public Accountants of Turkey (TURMOB)

If authority of the standard is not well defined by the regulator, auditors may find it challenging to choose between the two sets of ISAs.

8. Academics

Argentine Institute of Auditing Professors

What can generate challenges is the constant evaluation of the nature and definition of a Less Complex Entity, especially in a changing and dynamic economic and legal context such as the one we are living in Argentina.

Brunel University London

Applying judgment to determine whether the LCE standard is appropriate increases the risk that errors will be made (by using it when not appropriate)

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4. National Auditing Standard Setters

Federación Argentina de Consejos Profesionales de Cs. Económicas

Answer: The biggest challenge is to visualize the usefulness of its implementation, because in those jurisdictions where the full ISAs and local auditing standards are in force, accepting the validity of another regulatory body of this scope may be unattractive. In addition, it does not substantially reduce the work or the effort to carry out a quality audit.

Royal Netherlands Institute of Chartered Accountants (NBA)

Response: We fear that this standard cannot be implemented in this way as it remains unclear when an entity is less complex and what the true benefits are of using this standard. The requirements and the work effort are more or less the same as in the ISAs and therefore this standard does not have distinctive value.

5. Accounting Firms

PriceWaterhouseCoopers

We also note that requirements that are based closely on the ISAs but with a degree of amendment, combined with insufficient EEM, are likely to create significant methodology implementation challenges. The ability to discern the intent of the Board and explain differential work effort as compared to the related ISA requirements may be problematic. As noted in previous responses, if the outcome is that the methodology and work effort are deemed unchanged, expectations of stakeholders are unlikely to be met.

6. Public Sector Organizations

Audit Scotland

There would be no commercial benefit to a firm adopting the proposed standard if they are already auditing under ISAs.

7. Professional Accountancy and Other Professional Organizations

Institute of Singapore Chartered Accountants

In this regard, regulators and standard-setters could help to communicate to stakeholders and deliver the message that both ISAs and ISA for LCE would result in equally robust audits to dispel any misconceptions. As the international auditing standard-setter, IAASB could lend a strong voice to this with a statement to that effect. However, before this can happen, we wish to reiterate the importance of IAASB clarifying the differences between ISA for LCE and the ISAs. Without clear distinction, it would be confusing for the stakeholders as the output (i.e. a reasonable assurance audit opinion) is the same.

9. Individuals and Others

Vera Massarygina

auditors whose clients are only LCE would not see any significant difference between this standard and full set of ISAs

Specific Questions\Section 4F – Other Matters\Question 17 - Would ED-ISA for LCE meet the needs of users and other stakeholders for an engagement that enables the auditor to obtain reasonable assurance to express an audit opinion\Question 17(c) Whether there are aspects of the proposed standard that may create challenges for implementation\1a) Aspects Noted\1c) Perception & User Education

4. National Auditing Standard Setters

Indonesian Institute of Certified Public Accountants (IAPI)

Response: Yes. Some of the aspects include:

Perception of “lower assurance” audits / “two-tier” assurance

Malaysian Institute of Accountants

There was also concern about client expectations when the audits of LCEs using this proposed standard will inadvertently, lead to lower audit fees. Hence, it will be useful if the IAASB can assist the practitioners to clearly articulate the benefits of adopting this new LCE standard beyond just reading clarity (e.g., reduced work effort, simpler risk assessment process, improved audit quality etc) relative to the full ISAs. Otherwise, this could be a struggle for the practitioners when discussing fees proposition with their clients. Engagement with other stakeholders (users, preparers and third party users e.g. banks, tax authority) should be carried out in advance of the implementation of the LCE standards.

New Zealand Auditing and Assurance Standards Board

There is a need to raise awareness, educate and engage with TCWG and users to enable them to understand that the ISA for LCE is similar to the ISAs, which provides reasonable assurance and is not a second-grade audit. The user perception issue of reduced work effort and/or audit quality should also be addressed. First time implementation guide and flexibility on transitional provisions should also be considered to better facilitate the uptake of the standard.

7. Professional Accountancy and Other Professional Organizations

CPA Ireland

CPA Ireland envisages that there may be challenges in the wider acceptance of the standard by regulatory authorities and other stakeholders and believes that this challenge can be reduced through dialogue and engagement.

Institute of Certified Public Accountants of Kenya

Yes, although to a small extent. Awareness creation and sensitising members and practitioners will mitigate any possible anticipated challenges.

Institute of Chartered Accountants of Pakistan

Audit firms would need to develop their audit methodologies for audit of less complex entities. Therefore, adequate training of auditors and awareness of audit clients about the scope of proposed standard is necessary for the effective implementation.

There is also a risk that stakeholders’ perception could be different for the proposed ISA as compared to full ISAs based audit. Users may perceive this as low quality audit and may recognize that less auditor’s time and efforts will be applied for the audit of less complex entities. Therefore, auditor may expect lower audit fees for audit of less complex entity as compared to non-complex entity.

For this challenge, we suggest that more guidance material and training would be helpful to deal with the stakeholders’ perception about the lower level of assurance level, by explaining them this is not an inferior quality audit and same level of reasonable assurance would be given by auditor for ISA for LCE based audit as given to ISAs based audit.

Institute of Singapore Chartered Accountants

Challenges auditors may face when deciding to use ISA for LCE

Consistent with the misconception by users of the financial statements, one of the concerns that auditors have is whether they will be able to convince TCWG of the audited entity and users of the audited financial statements (such as banks, creditors and suppliers) that an audit conducted using ISA for LCE is equally robust. If the misconceptions are not rectified, TCWG or management of the audited entity may not want their auditors to use ISA for LCE or the auditors themselves may not be keen to use the standard as well.

In this regard, regulators and standard-setters could help to communicate to stakeholders and deliver the message that both ISAs and ISA for LCE would result in equally robust audits to dispel any misconceptions. As the international auditing standard-setter, IAASB could lend a strong voice to this with a statement to that effect. However, before this can happen, we wish to reiterate the importance of IAASB clarifying the differences between ISA for LCE and the ISAs. Without clear distinction, it would be confusing for the stakeholders as the output (i.e. a reasonable assurance audit opinion) is the same.

International Federation of Accountants' Small and Medium Practices Advisory Groups

There was also concern about client expectations when the standard is used and whether they would expect lower audit fees.

Malaysian Institute of Certified Public Accountants

Upfront engagement with third-party stakeholders to clearly articulate the benefits to them on how the quality and effectiveness of the audit of LCEs will be maintained when using this standalone standard is critical to remove any misconceptions of a lesser quality audit requiring less efforts and costs and therefore justifying lower fees.

South African Institute of Chartered Accountants (2)

When engaging with the auditors and stakeholders, it is important that the IAASB provides education on the public interest benefits of adopting the LCE standard.

8. Academics

Brunel University London

We recommend further work on some important challenges to be considered and addressed for practitioners: Users such as banks, investors, creditors may regard an LCE audit as less valuable

9. Individuals and Others

Vera Massarygina

Auditors whose clients are LCE and more complex entities should have two sets of templates of WP and explain clients why they use this standard or full set of ISAs;

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7. Professional Accountancy and Other Professional Organizations

Belgian Institute of Registered Auditors (IBR-IRE)

Also, given that the application of the ISA for LCE is based on the interpretation and the professional judgement of the practitioner, it may give rise to certain issues with the oversight body, should the latter disagree with the reasoning of the practitioner having led to the application of this standard during quality reviews.

Institute of Singapore Chartered Accountants

As auditing is a highly regulated profession, introducing a separate and new auditing framework would have an impact on the regulatory environment. Questions would arise on whether there would be any differences in how inspections would be conducted for audits under ISA for LCE vis-à-vis those under ISAs. For example, given that audits under ISA for LCE also provide reasonable assurance, it is not certain if regulators will accept reduced levels of documentation under the new standard. The adoption of ISA for LCE may necessitate corresponding adjustments to the inspection framework. Hence, it is critical for standard-setters to work closely with the regulators during the adoption stage of ISA for LCE.

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4. National Auditing Standard Setters

Malaysian Institute of Accountants

Where training and education for auditors (which will involve the evolution of audit syllabus) and development of tools/aids are split between two types of audits, there will also be a risk of fragmenting the profession and may cause auditors to be classified as LCE auditors and/or general auditors over time. The last thing the profession needs is becoming a 2-tier profession.

5. Accounting Firms

Famme & Co. Professional Corporation

The transition to a new stand alone standard would require an extensive, expensive and time-consuming program of staff training and a rewriting of all audit forms, policies and the firm's Quality Assurance Manual.

Mazars

As mentioned in paragraph 141 in the Explanatory Memorandum, the use of two different standards will have challenges when designing further guidance, tools and training. We believe that it is important to keep the principle-based approach in ISA for LCE and to encourage firms and users.

MHA Monahans

c) The main challenge as noted previously will be amending our systems, training staff, and having dual audit standards.

Price Bailey LLP

Concern with methodology providers and software providers being able to provide both methodologies and enable easy transition. Further outreach to more software and methodology providers is needed.

PriceWaterhouseCoopers

We also note that requirements that are based closely on the ISAs but with a degree of amendment, combined with insufficient EEM, are likely to create significant methodology implementation challenges. The ability to discern the intent of the Board and explain differential work effort as compared to the related ISA requirements may be problematic.

RSM International

Response: The need to adapt their methodologies, manuals, documentation and software solutions will be a significant challenge for some firms and networks.

6. Public Sector Organizations

Auditor-General of New Zealand

We do not envisage any significant implementation challenges, although aspects of our underlying audit methodology and support systems will need to be updated.

7. Professional Accountancy and Other Professional Organizations

ASEAN Federation of Accountants

Potential challenge for larger firms with a mix of LCE and non-LCE clients in managing their “dual” practice. It is critical to maintain consistency in applying judgment to differentiate between the audits. Further complications may be present, in term of building and managing the firms' capacity to conduct both types of audits.

Where SMPs in general may be looking forward to the standard, larger firms may be indifferent, especially those that have already applied audit programmes that are tailored for LCEs.

Association of Practising Accountants

Other challenges are likely to arise in regard to the methodology providers and software providers and how easy it would be to move from LCE to full ISA's if required.

Institute for the Accountancy Profession in Sweden (FAR)

As mentioned in paragraph 141 in the Explanatory Memorandum, the use of two different standards will have challenges when designing further guidance, tools and training. We believe that it is important to keep the principle-based approach in ISA for LCE and to encourage firms and users, not to add extensive guidance related to ISA for LCE.

Institute of Chartered Accountants of Pakistan

There is also a possibility that there could be diversity in practice at the firms' level when this standard would become applicable.

International Federation of Accountants' Small and Medium Practices Advisory Groups

Some firms are wondering how or whether this would impact their audit methodologies and how timely those changes could be adopted to allow firms to begin utilizing the new standard in time for the effective date. In addition, there are some firms that are concerned about the potential cost of having to purchase or develop two sets of audit methodology; one based on the full ISAs, the other on audits of LCEs. There is also a recognition that there could be diversity in practice in jurisdictions or even at the firm level on when to apply this standard. In addition, the pre-requisite to have an understanding of the full ISAs may not have as much cost benefit for firms that deal exclusively with smaller, less complex clients.

Malaysian Institute of Certified Public Accountants

The longer term development needs of audit staff who are only trained to perform audits under this standalone standard and not the extant ISAs must be addressed to avoid there being 2 tiers of auditors which cannot be good for the profession as a whole.

South African Institute of Chartered Accountants (2)

Firms may have to have to develop two audit methodologies, based on the ISAs and the LCE standard. This could be costly for firms that may not have access to global networks to assist them in developing the methodologies. In all likelihood, they may have to end up obtaining the services of consultants and software providers. Additional costs include training that will need to be conducted as well as updates to the firms' quality management processes and procedures. It is unlikely that these costs will result in any financial benefits for the firms if there is no reduction in the work effort as a result of using the LCE standard. Therefore, it is important that the IAASB provides adequate implementation guidance to assist those firms that may not have the necessary resources to reduce the additional costs.

8. Academics

Brunel University London

Running two sets of standards increase the risk of errors by staff switching between two requirements
Audit partners and staff need to be familiar with two sets of standards, the LCE and full ISAs as clients will be a mix of these

9. Individuals and Others

ASK KSA Consulting Inc.

This is not an IAASB issue but is important to raise. Many SMPs rely on purchased tools, templates and checklists rather than creating their own. It is the authors of these purchased tools who will have a significant impact on the efficiency and effectiveness of the ED-ISA for LCE. This is an opportunity to make changes and we hope these changes are made, and it is just not an exercise of taking existing forms and trying to fit them into the ED-ISA for LCE format.

Vera Massarygina

Auditors whose clients are LCE and more complex entities should have two sets of templates of WP

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5. Accounting Firms

Mazars

The SME handbook produced by the SMP committee was including 2 volumes among which one was giving examples. Implementation deserves examples of documentation and toolkits / videos for training.

7. Professional Accountancy and Other Professional Organizations

Institute of Certified Public Accountants in Israel

ICPAI believes that the challenges arising from any new standard may be overcome. The new standard constitutes an overall conceptual change of the audit approach; therefore, training sessions and seminars, that will allow engagement teams to understand the standard and use it will be in place.

South African Institute of Chartered Accountants (2)

Firms may have to develop two audit methodologies, based on the ISAs and the LCE standard. This could be costly for firms that may not have access to global networks to assist them in developing the methodologies. In all likelihood, they may have to end up obtaining the services of consultants and software providers. Additional costs include training that will need to be conducted as well as updates to the firms' quality management processes and procedures. It is unlikely that these costs will result in any financial benefits for the firms if there is no reduction in the work effort as a result of using the LCE standard. Therefore, it is important that the IAASB provides adequate implementation guidance to assist those firms that may not have the necessary resources to reduce the additional costs.

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7. Professional Accountancy and Other Professional Organizations

ASEAN Federation of Accountants

On potential transition between this standard and ISAs, the proposed standard implied more work needed to establish the opening balance. Some of our respondents find this contradictory with the requirement for both standards to provide reasonable assurance.

Chartered Accountants Australia and New Zealand and the Association of Chartered Certified Accountants

Further, the strict standalone nature and transition requirements may be difficult to operationalise as auditors experience in the full suite of ISAs will be relying on that knowledge in making their judgments in ISA for LCEs. We also find that a transition requirement that gives no leeway for some unexpected complexity to be addressed without significant rework will deter practitioners from adopting ISA for LCEs.

Institute of Singapore Chartered Accountants

Another challenge, as described earlier, is the risk of having to change to applying ISAs during the course of an audit due to the standalone nature of the standard. Weighing the implications arising from this, auditors may choose not to adopt the standard at all.

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4. National Auditing Standard Setters

Austrian Chamber of Tax Advisors and Public Accountants (KSW)

Response: Addressing the challenge to adapt the audit tools existing in the market concurrently we recommend a timely decision to issue the standard including an adequate transition period (see question 21).

Indonesian Institute of Certified Public Accountants (IAPI)

Limited application guidance might lead to inconsistent work/procedures performed by the practitioners

It has deviated from ISA requirements in some respects such that it calls into question the work effort needed to achieve what is intended to be the same outcome

7. Professional Accountancy and Other Professional Organizations

ASEAN Federation of Accountants

Our respondents shared the following potential implementation challenges that need to be considered and/or addressed by the Board before finalising the standard:

Potentially different views and conclusion when applying judgments between predecessor and successor auditors.

Chamber of Financial Auditors of Romania

At this date a clear answer to this question is not possible as there are several other interested parties involved, such as the regulatory authority in Romania and other stakeholders.

Indonesian Committee on Public Accountant Profession (KPAP)

The challenges in implementing the ED ISA for LCE are as follows:

Determining which audit standards to choose, ISAs or ISA for LCE.

Especially for group entities audits, there is a challenge whether the parent and the subsidiary companies are allowed to use different audit standards, e.g., audits for some entities use ISAs while others use ISA for LCE.

Self-Regulatory Organization of Auditors Association (SRO AAS)

We do not see specific problems that could prevent the implementation of the standard except of the form in which EMM are presented.

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3. Regulators and Audit Oversight Authorities

Independent Regulatory Board for Auditors (IRBA)

Please refer to our responses to other questions, particularly to the following:

- Question 3 – Authority.
- Section 4E – Content of the proposed standard.
- Question 13 – Transitioning.
- Questions 22 – 26 – Group Audits.

4. National Auditing Standard Setters

Australian Auditing and Assurance Standards Board

Refer to paragraphs 3 - 7 of the attached covering letter.

Canadian Auditing and Assurance Standards Board

Please refer to our Overall Comments and responses to previous questions for areas that may create implementation challenges and our suggestions of how they may be addressed. These include our concerns that:

pain points in the ISAs are not addressed in ED-ISA for LCE;

the Authority is not easily implementable;

there is lack of guidance on transitioning; and

EEM is not sufficient or complete.

Hong Kong Institute of Certified Public Accountants

Please refer to our comments to Question 4 on limitations through qualitative characteristics; Question 7 on the sufficiency of EEM and Question 13 on matters relating to transitioning.

Institut der Wirtschaftsprüfer in Deutschland e.V. (IDW)

See our response to the questions above, and in particular to 17 a) above.

There is a high demand for a separate standard or set of standards for audits of LCEs in Germany. However, whether or not the LCE standard can and will be used in our jurisdiction for other than voluntary audits will depend upon the quality of the LCE standard from our point of view. We have addressed a number of very important issues in our comments above that we believe need to be dealt with adequately by the IAASB for the LCE standard to be fit for purpose in our jurisdiction. In particular, if our comments in response to Question 3 c) and 4 b) on dealing in at least in a modular manner with circumstances when a matter arises not covered by the LCE standard, Question 8 in relation to the departures in wording from the ISAs that lead to a different understanding of the requirement than in the ISAs, Question 9 relating risk identification and assessment in Part 6, Question 10 on audit reporting in Part 9, and Our response to the issue of group audits in Section 5 below are not adequately dealt with, we will likely not see ourselves in a position to adopt the IAASB LCE standard. If, however, these matters are adequately dealt with in the final IAASB LCE standard, we would certainly adopt the standard as a basis for further customization at a national level as contemplated in the LCE standard, and as a result may even lead to the withdrawal our own German LCE standard.

5. Accounting Firms

Azets Audit Services

Transition is noted elsewhere, though ought to be rare.

ISA group auditor practical considerations may also provide challenge. Most areas can be addressed through sensible and proportionate application material, either in the ISAs or ED-ISA for LCE. As mentioned in our response to question 13(a) there may be challenge over perception of benefit where the opportunities presented by this standard are not fully considered, or immediately transparent. The most significant implementation challenge may be inertia, either at the jurisdiction or firm-level.

Baker Tilly International

Baker Tilly comments: The scoping issue, addressed throughout our response, is the main implementation challenge of the standard itself.

Ernst & Young Global Limited

We believe that the following aspects of the proposed standard may create challenges for implementation and guidance should be developed to address these scenarios:

Lack of guidance on transitioning from the ED-ISA for LCE to the full suite of ISAs and vice versa (refer to our response to Q13 for additional details).

Lack of guidance on situations when a practitioner would be required to transition to the full suite of ISAs (i.e., no longer meets the Authority of the ED-ISA for LCE and the full suite ISAs must be used).

Lack of guidance (or an explicit prohibition) for auditors on whether it is appropriate to situationally refer to the ISA application material when the ED-ISA for LCE lacks the necessary application material for the requirement on which they are seeking additional guidance.

Lack of comprehensive examples on the application of the Authority of the ED-ISA for LCE to help reduce inconsistencies in application (refer to our response to Q3(a) for additional details).

Lack of guidance on scaling the documentation for audits using the ED-ISA for LCE (refer to our response to Q18 for additional details).

ETY sas

Refer to the concerns reported above on judgment when deciding if the LCE should be used (scope and authority)

Famme & Co. Professional Corporation

See comments at 13 (a)

Grant Thornton International Limited

See challenges described above, in response to the specific questions. We have no additional challenges to highlight.

KPMG IFRG Limited

We have several concerns regarding implementation challenges which we describe elsewhere in this letter. Please refer, in particular, to our responses to Questions 1a), 3c), 7d), and 13.

PKF International Limited

In our view, the key challenges to implementation of the proposed standard will include: how users interpret and apply the Authority (see our response to Question 3 above); and how users identify any changes in circumstances of the audited entity or the engagement which may result in the ED-ISA for LCE no longer being the appropriate standard to use for the engagement and which may necessitate transition to full ISAs (see our response to Question 3(c) above).

In our view, the key challenges for the above areas will arise from their inconsistent application by users of the standard.

Price Bailey LLP

Response: The key challenges are:

The lack of clarity in the authority. We have suggested some ways this can be addressed earlier.

Excluding groups – these need to be allowed

to apply the standard. See details in later questions about how they can be included.

PriceWaterhouseCoopers

Our primary concern with respect to implementation challenges relate to the proposed Authority - please see our response to question 4.

7. Professional Accountancy and Other Professional Organizations

Accountancy Europe

Please see our response to questions 1 and 3.

ASSIREVI

See earlier, including with reference to transitioning.

Association of Practising Accountants

Response: The key areas are the regulatory support and also clarity around the authority as to when this standard can be used for a particular audit.

Belgian Institute of Registered Auditors (IBR-IRE)

A more practical matrix rather than an extensive mapping would be more than helpful. Reference is made to our answer under question 13 (b).

Chamber of Auditors of the Czech Republic

Please see our response to questions 1 and 3.

Chartered Accountants Australia and New Zealand and the Association of Chartered Certified Accountants

If the scope of the standard is too limited, it will discourage adoption by practitioners. From our outreach, the practitioners who see the most value in this standard are generally those who believe they will be able to audit all, or a large majority of, their clients under ISA for LCEs. The prospect of having to operate two methodologies is challenging for smaller firms. As discussed in our opening comments, the main concerns raised are with the blanket exclusion of groups and, to a lesser degree, listed entities.

Chartered Accountants Ireland

As noted in our response to question 7, we have significant concerns around the sufficiency of EEM included in the standard that would impact how the standard meets the needs of auditors and would create implementation issues.

Subject to our concerns around the extent of EEM included as set out in response to question No 7 above, we agree that ED-ISA for LSE would enable the auditor to obtain reasonable assurance to express an audit opinion.

Confederation of Swedish Enterprise

Response: We have already addressed those challenges in answering question in Section 4B 4 (a) and (b).

Federation of Accounting Professions of Thailand

Except for the concern as addressed in the answers to question 13 above regarding the transitioning and changes of the LCE status, we believe the standard can be implemented without major issues.

Institute of Certified Public Accountants of Cyprus

Please also refer in our response to the General Comments on Proposed ISA for LCE.

Response: Please refer to our response in (a).

Institute of Certified Public Accountants of Uganda

Refer to our comments in 1.

Instituto dos Auditores Independentes do Brasil

As mentioned before, the qualitative characteristics of the companies that can be subject to this audit standard.

Korean Institute of Certified Public Accountants

The biggest challenge lies in determining whether an entity is within the scope of the ISA for LCE application. Improvements are required to reduce the room for judgement and ensure consistency in scope of application (See the answers to questions 3~5)

Malta Institute of Accountants

Response: Please refer to comments above.

Nordic Federation of Public Accountants

We refer to our responses to questions 1 and 3.

Ordre National des Experts Comptables et des Comptables Agréés du Burkina Faso (ONECCA-BF)

Refer to the concerns reported above on judgment when deciding if the LCE should be used (scope and authority)

Pan-African Federation of Accountants (PAFA)

Refer to the concerns reported above on judgment when deciding if the LCE should be used (scope and authority)

9. Individuals and Others

Rodoula Roussou

Response:

YES. See above (response to questions 1, 3, 13 etc.)

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4. National Auditing Standard Setters

Compagnie Nationale des Commissaires aux Comptes and Conseil Supérieur de l'Ordre des Experts-Comptables

We have no further comments beyond those already mentioned.

Public Accountants and Auditors Board Zimbabwe

Response: None noted

5. Accounting Firms

BDO International

Response: We have nothing additional to mention here.

Duncan & Toplis Limited

Response: We believe that we have covered this question elsewhere in the response.

7. Professional Accountancy and Other Professional Organizations

Botswana Institute of Chartered Accountants

Response: None noted.

Chartered Governance and Accountancy Institute in Zimbabwe

Response: We do not envisage any challenges in implementation of the standard.

CPA Australia

No specific challenges for implementation identified.

European Federation of Accountants and Auditors for SMEs

We are not aware of any other aspects of the proposed standard that may create challenges for implementation, other than those challenges addressed above.

Institute of Chartered Accountants of Ghana

Response: We do not think of any aspects of the proposed standard that may create challenges for implementation.

Institute of Chartered Accountants of Jamaica

Response: NO

Institute of Chartered Accountants of Namibia

No additional comment.

Institute of Chartered Accountants of Scotland

We are not aware of any such aspects.

Instituto Mexicano de Contadores Públicos (IMCP)

No major challenges are noted for the implementation of the ISA for LCE. In this sense, it will help that the organized profession in Mexico has applied the ISA for more than 10 years, which in some way should make the process of implementing a more simplified, concrete, simple and friendly standard such as the ISA for LCE less challenging.

REA Auditores

We are not aware of any other aspects of the proposed standard that may create challenges for implementation, other than those challenges addressed above.

Society of Certified Accountants and Auditors of Kosovo (SCAAK)

Response: We are not aware of any other aspects of the proposed standard that may create challenges for implementation, other than those challenges addressed above.

South African Institute of Professional Accountants

We are not aware of any other aspects of the proposed standard that may create challenges for implementation, other than those challenges addressed above.

Wirtschaftsprüferkammer (WPK)

We do not see major challenges for the implementation.